

BROOKTRAILS TOWNSHIP COMMUNITY

SERVICES DISTRICT

BASIC FINANCIAL STATEMENTS

JUNE 30, 2025

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Brooktrails Township Community Services District

Basic Financial Statements

For the year ended June 30, 2025

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Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

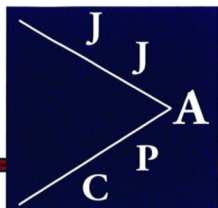
Elected Officials and Administrative Personnel

BOARD OF DIRECTORS

Tina Tyler-O'Shea – President
Rick Williams – Vice-President
Ed Horrick – Member
Susan Mahoney – Member
Mary Ziady – Member

MANAGEMENT

Tamara Alaniz – General Manager
Tom Simms – Deputy Finance Officer



JJACPA, Inc.

A Professional Accounting Services Corp.

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of the
Brooktrails Township Community Services District
Willits, California

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the budgetary comparison information of the Brooktrails Township Community Services District (District), as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the budgetary comparison information of the District, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

The District's management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 4-15, the Schedule of Changes in the Net OPEB Liability and Related Ratios on page 66, Schedules of Contributions on page 67 and Schedules of the District's Proportionate Share of the Net Pension Liability on page 68, be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The schedule of debt service coverage is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The schedule of debt service coverage is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of debt service coverage is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated February 18, 2026 on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering District's internal control over financial reporting and compliance.

February 18, 2026

JJACPA, Inc.
JJACPA, Inc.
Dublin, CA

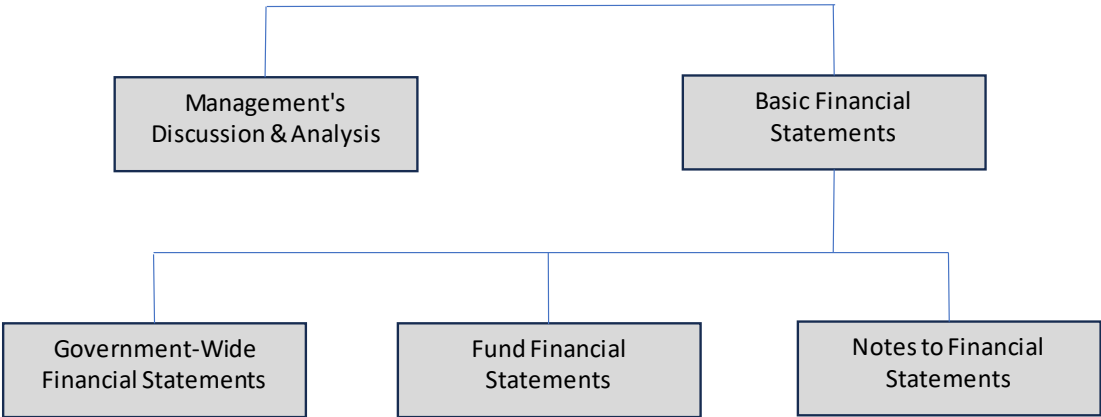
Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management’s Discussion and Analysis

Introduction

The Management’s Discussion and Analysis (MD&A) is a required section of the District’s Basic Financial Statements, as shown in the overview below. The purpose of the MD&A is to present a discussion and analysis of the District’s financial performance during the fiscal year that ended June 30, 2025. This report will (1) focus on significant financial issues, (2) provide an overview of the District’s financial activity, (3) identify changes in the District’s financial position, (4) identify any individual fund issues or concerns, and (5) provide descriptions of significant asset and debt activity.

This information, presented in conjunction with the Basic Financial Statements is intended to provide a comprehensive understanding of the District’s operations and financial standing.



Fiscal Year 2024/2025 Financial Highlights

- Change to policy recognizing accounts receivable and collectability. The policy change looks back three years rather than five. Revenues deemed more likely to be collected include assessments from developed land only. The receivable includes ad velorum and assessments without consideration of accrued late fees and interest. The actual collectability is difficult to ascertain since the County manages both billing and collection. The new policy reflects the significance of low collection potential from assessed undeveloped lots in the Township.
- The district purchased an existing commercial building adjacent to the current administrative office. The building has been renovated and is nearly ready for the office change. The entire project was cash funded without incurring debt.
- For the fourth consecutive year, the district has reduced its overall debt load. Part of that change is attributed to the payoff of the utility department’s vac truck financing.
- The district is in the final phase of a water reuse planning study. There is a reasonable likelihood of a grant funding and debt combination that would enable the project to be shovel ready. The study has been funded by a grant which covers the vendor costs as incurred rather than impacting district cash flow as a reimbursement.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management's Discussion and Analysis, Continued

Fiscal Year 2024/2025 Financial Highlights, Continued

- The new special benefit assessment for fire services enabled the district to cash fund the construction of another building for housing critical firefighting equipment, as promised to voters when it was initially approved.
- The golf course is now under new management. Plans include the expansion of services and more diverse use of the facilities.
- The redwood tank, Tank 23 was replaced, upgrading it from redwood to a more sustainable steel structure. The project was cash funded and completed during the fiscal year.
- Long-term repairs and upgrades were completed for the fire department's tactical water tender. This asset is critical for the district's fire fighting capability and has proven a valuable tool for supporting peer agencies.

The Basic Financial Statements

The Basic Financial Statements are comprised of 1) Government-wide (District-wide) Financial Statements, and 2) Fund Financial Statements. These two sets of financial statements provide the reader with two different perspectives of the District's financial activities and financial position.

The Government-wide Financial Statements

Government-wide Financial Statements provide a longer-term view of the District's activities as a whole and comprise the *Statement of Net Position* and the *Statement of Activities*. The *Statement of Net Position* provides information about the financial position of the District as a whole, including all its capital assets and long-term liabilities on a full accrual basis, similar to that used by corporations. Government-wide financial statements are prepared on the accrual basis, which means they measure the flow of all economic resources of the District as a whole. *The Statement of Activities* provides information about all the District's revenues and all its expenses, also on a full accrual basis, with the emphasis on measuring net revenues and/or expenses for each of the District's programs. *The Statement of Activities* explains in detail the change in Net Position for the fiscal year.

Governmental Activities – All of the District's basic services are considered governmental activities, including general government, parks and recreation and maintenance. These services are supported by general District revenues such as taxes and assessments, and by specific program revenues such as charges for services.

Fund Financial Statements

Fund Financial Statements report on the District's operations in more detail than the government-wide statements and focus primarily on the short-term activities of the District's general fund and other major funds. The Fund Financial Statements measure only current revenues and expenditures and fund balances. A fund is a group of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The District, like other local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

**Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025**

Management's Discussion and Analysis, Continued

Fund Financial Statements, Continued

Major funds account for the major financial activities of the District and are presented individually, while the activities of non-major funds are presented in summary, with subordinate schedules presenting the detail for each of these other funds. The concept of major funds, and the determination of which major funds, was established by GASB Statement 34 and replaces the concept of combining like funds and presenting them in total. Instead, each major fund is presented individually, with all major funds summarized and presented only in a single column. Major funds present the major activities of the District for the fiscal year and may change from year to year because of changes in the patterns of the District's activities. The District's funds are segregated into three categories: general, special revenue funds and capital project funds.

Governmental Funds – The District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances available at fiscal year-end. Financial Statements are prepared on the modified accrual basis, which means they measure only current financial resources and uses. Carrying amounts for capital assets and other long-lived assets, along with long-term liabilities are not presented on the balance sheet in the governmental fund financial statements. Unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating the District's near-term financing requirements.

Notes to the Financial Statements

Notes to the Financial Statements provide additional information that is essential to a full understanding of the data in the government-wide and fund financial statements. The notes can be found immediately following the fund financial statements.

Government-Wide Financial Analysis

Taken as a whole, the district prospered during the recent fiscal year. Key functions were accomplished without increases to debt and property assessments. Charges for utility services increased by less than 1% overall. Investment in fixed asset additions and repairs was accomplished without adding to the district's overall debt.

Two material changes impacted the district's net position, one by policy change and the other through actuarial accrual of retirement liabilities from CalPERS pension annuities and the related post-employment benefit commitments to district retirees.

The policy change was a board adopted revision of the district policy recognizing property tax assessment revenues and their collectability. Prior to the change, the district recognized all default tax accounts as far back as five years. After an extensive review of accounts, aging, and rates of collectability, the district adopted a change. The new policy recognizes default accounts as far back as three years to better align with County standards. The new policy disregards interest fees and other penalties due to the low collection rate.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management's Discussion and Analysis, Continued

Government-Wide Financial Analysis, Continued

The lowest level of comparative collectability was from undeveloped lots. There is greater risk of misstatement by aggressively reporting these numbers. Staff have determined through analysis that the quality and collectability of these receivables drop to a less than significant amount by the time they reach the fourth year of default.

The following table summarized the District's ending net position:

Table 1 - Net Position				
	Governmental Activities		Dollar	Percent
	2025	2024	Change	Change
Assets				
Current and other assets	\$ 167,640	\$ 1,484,826	\$ (1,317,186)	-89%
Capital assets-net	\$ 5,465,573	\$ 5,218,661	\$ 246,912	5%
Total Assets	<u>\$ 5,633,213</u>	<u>\$ 6,703,487</u>	<u>\$ (1,070,274)</u>	-16%
Deferred Outflow of Resources	<u>\$ 217,419</u>	<u>\$ 807,436</u>	<u>\$ (590,017)</u>	-73%
Liabilities				
Current and other liabilities	\$ 151,225	\$ 214,268	\$ (63,043)	-29%
Noncurrent liabilities	\$ 1,285,384	\$ 2,324,578	\$ (1,039,194)	-45%
Total Liabilities	<u>\$ 1,436,609</u>	<u>\$ 2,538,846</u>	<u>\$ (1,102,237)</u>	-43%
Deferred Inflows of Resources	<u>\$ 36,733</u>	<u>\$ 71,638</u>	<u>\$ (34,905)</u>	-49%
Net Position				
Net investment in capital assets	\$ 5,465,573	\$ 5,218,661	\$ 246,912	5%
Restricted	\$ -	\$ -	\$ -	0%
Unrestricted	\$ (1,088,283)	\$ (318,222)	\$ (770,061)	242%
Total Net Position	<u>\$ 4,377,290</u>	<u>\$ 4,900,439</u>	<u>\$ (523,149)</u>	-11%

Governmental Activities

The most significant impact of the district's receivable recognition policy was the reduction in reported accounts receivable. \$1.26 million in assessment receivables were deemed materially uncollectible. Future ratios will reflect more reasonable collection rates. The district's assets are the accumulation of infrastructure and equipment.

Current items on the balance sheet reflect operational resources and transactions. The district's focus is to minimize transaction time with faster turnaround of liabilities. This approach expedites purchase needs and reduces overall downtime during maintenance and repair events.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management's Discussion and Analysis, Continued

Government-Wide Financial Analysis, Continued

Governmental Activities, Continued

The significant reduction in long-term liabilities was largely attributable to actuarial revaluation of retirement investments held by CalPERS. The district fully funds all actuarially calculated accrued liabilities as determined by CalPERS to reduce future liability obligations and reduce actuarial impact to retiree needs.

Program revenues for fire services were enhanced this year due to several factors including a large increase in Proposition 172 funding. This assessment finished full implementation and accounts for \$167,152 of year over year increase. One-time revenues from reimbursed grant funding added another \$74,909. The remainder of the increase is due to strike team efforts. The revenue derived from strike teams is mainly reimbursement for paid fire fighting personnel and related tactical equipment borrowed from the district. For this reason, strike team revenues are viewed as non-recurrent earnings.

General revenues were mainly impacted by changes in revenue recognition and the district's assumptions regarding collectability of tax assessment revenues in default.

Table 2 - Statement of Changes in Net Position

Functional/Programs	Governmental Activities		Dollar Change	Percent Change
	2025	2024		
Program Revenues				
General Administration	\$ 3,380	\$ 37,722	\$ (34,342)	-91%
Fire Services	417,685	38,721	378,964	979%
Total Program Revenues	<u>421,065</u>	<u>76,443</u>	<u>344,622</u>	451%
General Revenues				
Property Taxes	425,696	597,927	(172,231)	-29%
Special Fire Taxes	680,498	750,914	(70,416)	-9%
Franchise Fees	44,319	43,844	475	1%
Investment Earnings	24,908	33,921	(9,013)	-27%
Other Revenues	14,742	207,088	(192,346)	-93%
Total General Revenues	<u>1,190,163</u>	<u>1,633,694</u>	<u>(443,531)</u>	-27%
Expenses				
General Government	1,348,065	849,222	498,843	59%
Parks and Recreation	76,772	88,674	(11,902)	-13%
Fire Services	1,065,833	663,438	402,395	61%
Interest and fiscal charges	12,100	14,658	(2,558)	-17%
Total Expenses	<u>2,502,770</u>	<u>1,615,992</u>	<u>889,336</u>	55%
Transfers in (out)	368,393	209,815	158,578	

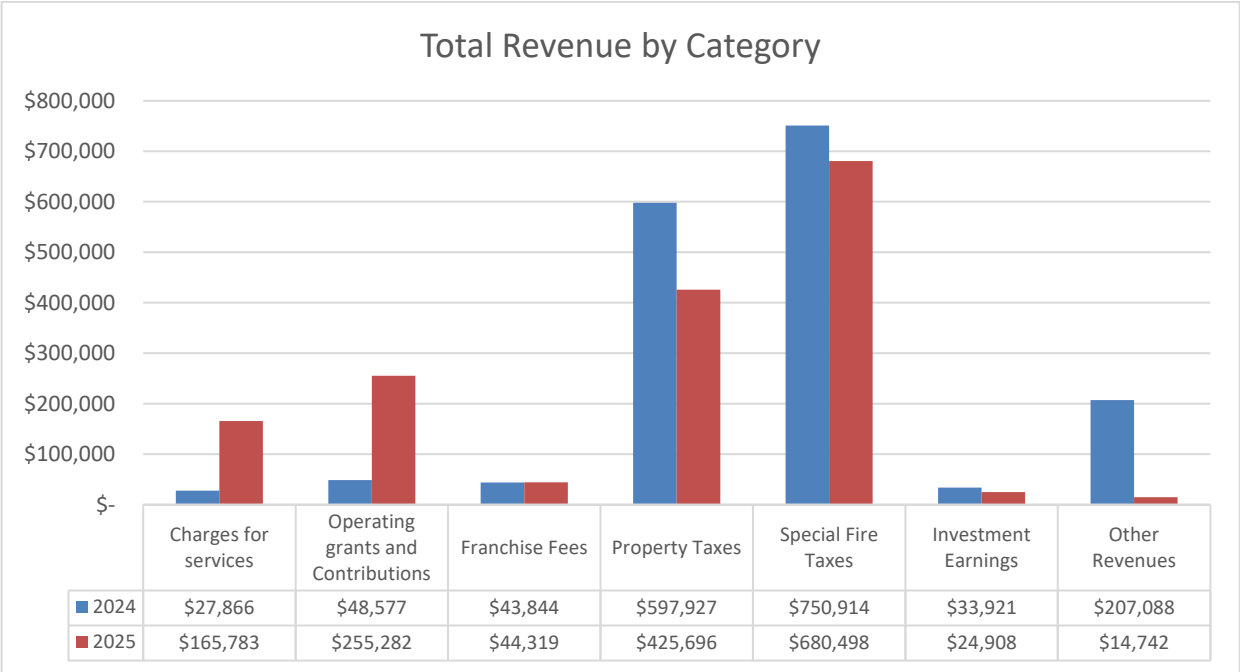
Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management’s Discussion and Analysis, Continued

Government-Wide Financial Analysis, Continued

Governmental Revenues

The following chart summarizes the changes in revenues by category in 2024/2025:



Significant changes in governmental revenues consisted of the following:

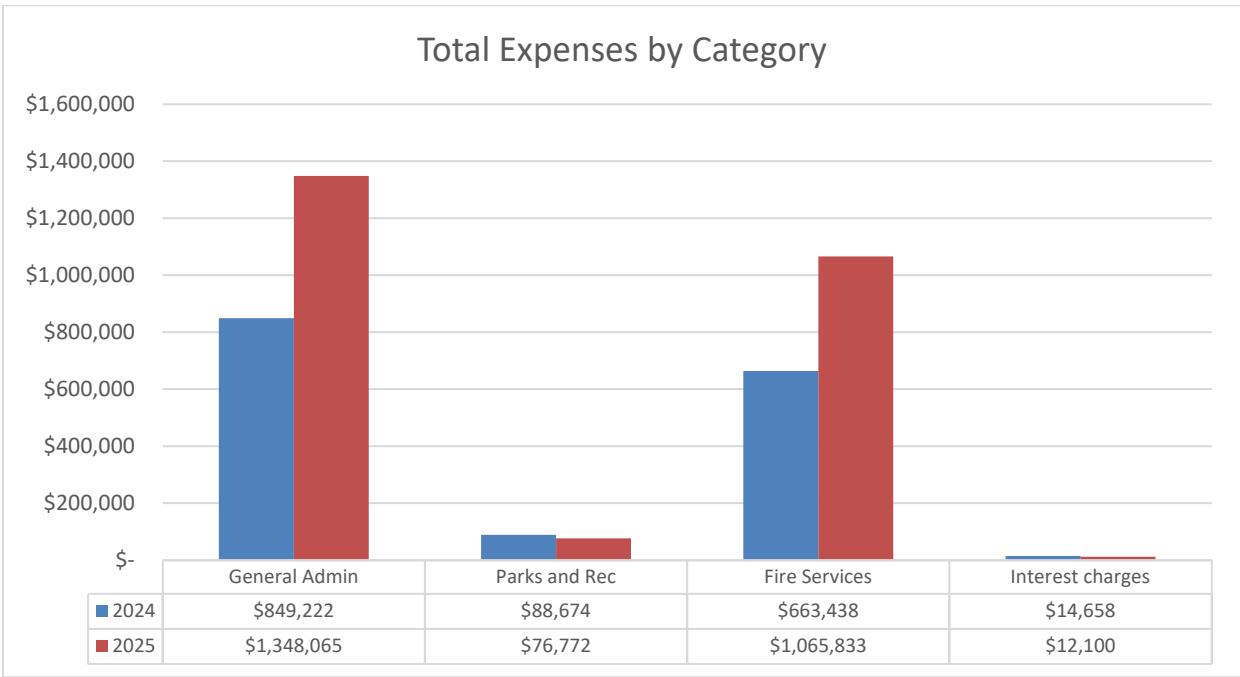
- The district’s policy change recognizing assessment revenues accounts for a more reasonable realization. The change primarily impacted receivables previously regarded as collectible. The policy change only impacts the district’s views on the collectability of default tax assessments and whether they should be recognized. While collected tax assessments were comparable to the previous year, the policy change required a significant write down of revenues previously booked as receivable.
- Charges for services and grant revenues were primarily made of non-recurring funds. Charges for Services were mostly composed of strike team revenues and are associated with wildfire suppression efforts. Grant funding provided a reimbursement mechanism for a one-time water re-use study.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management’s Discussion and Analysis, Continued

Government-Wide Financial Analysis, Continued

Governmental Expenses



Significant changes in governmental expenses consisted of the following:

- The district cash funded the purchase of a neighboring office building to serve as the new administration building. Renovation and updates were made to prepare the building for use. The overall cost was incurred using discretionary cash and included no debt. The purchase and renovation of the building represent significant savings over the deferred maintenance required for the current administrative office.
- The district constructed a new building to house and protect fire fighting apparatus. This enhancement was cash funded, incurred no debt, and reduced the maintenance necessary for vehicles and equipment exposed to the elements during times of non-use. The building offers security and the potential for less vehicle wear and tear.
- The district made a significant investment in a tactical water tender used in off road areas of fire fighting efforts. The vehicle is instrumental in peer agency support for strike team calls. This is a critical asset when forest fires occur. The district’s investment included an overhaul of pumps, running gear, engine components, and electrical, addressing most deferred maintenance needs.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management's Discussion and Analysis, Continued

Financial Analysis of the District's Funds

Table 3 - Summary of Changes in Fund Balance - Governmental Funds

	Major Funds		
	General Fund	Fire Fund	Total
Total Revenues	\$ 498,179	\$ 1,113,049	\$ 1,611,228
Total Expenditures	952,423	1,031,686	1,984,109
Revenues Over (Under) Expenditures	(454,244)	81,363	(372,881)
Write-down of accounts receivable	(857,837)	(389,734)	
Transfer In	387,782		
Transfer Out		(19,389)	
Net Change in Fund Balances	(924,299)	(327,760)	(372,881)
Beginning of Year	760,717	572,321	(638,482)
End of Year	\$ (163,582)	\$ 244,561	\$ (1,011,363)

General fund expenditure exceeded revenue mainly due to its investment in capital assets.

Fund balance change in government funds was mainly due to the revenue recognition changes adopted by the board. This write down of accounts receivable impacted equity accounts but had no impact on cash or cash transactions.

Capital Assets

Table 4 - Capital Assets at Fiscal Year End-Net of Depreciation

	Governmental Activities		Dollar Change	Percent Change
	2025	2024		
Land	\$ 4,651,094	\$ 4,651,094	\$ -	0%
Buildings	394,205	164,722	229,483	139%
Equipment	420,274	402,845	17,429	4%
	<u>\$ 5,465,573</u>	<u>\$ 5,218,661</u>	<u>\$ 246,912</u>	

The district added two structures during the year, a metal building for housing firefighting apparatus and a nearby existing building for the administration department's move.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management's Discussion and Analysis, Continued

Long Term Liability Administration

Table 5 - Long-Term Liabilities

	Governmental Activities		Dollar	Percent
	2025	2024	Change	Change
Financed purchase - Water Tender	\$ 124,924	\$ 164,214	\$ (39,290)	-24%
Note Payable - Squad Truck	160,427	184,013	(23,586)	-13%
Net Pension Liability	1,055,671	2,027,782	(972,111)	-48%
Net OPEB Liability	8,926	11,049	(2,123)	-19%
Total Long Term Liabilities	<u>\$ 1,349,948</u>	<u>\$ 2,387,058</u>	<u>\$ (997,820)</u>	

The district continues to pay down debt notes related to firefighting apparatus. Pension and OPEB liabilities are actuarily determined by the administrator, CalPERS. Unfunded actuarial obligations were paid in full during the year, reducing the overall future obligations to qualified district retirees. CalPERS investment strategy and market conditions had the greatest impact on the overall pension liability.

General Fund Budgetary Highlights

Table 6 - General Fund Budget Overview

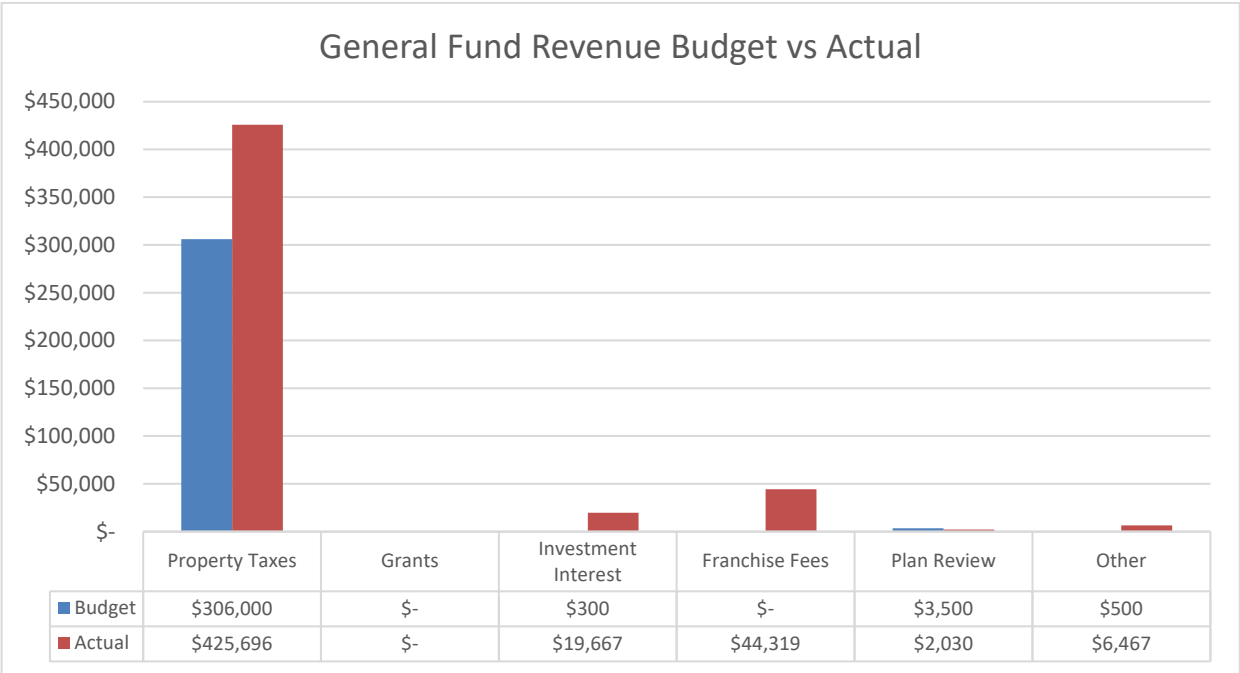
	Admin/General Fund		Variance
	Budget	Actual	Favorable (Unfavorable)
Revenue			
Taxes and Assessments	\$ 306,000	\$ 425,696	\$ 119,696
Grants	-	-	-
Fees and Other Non-Tax Revenue	3,500	2,030	(1,470)
Franchise fees	-	44,319	
Interest	300	19,667	19,367
Other	500	6,467	5,967
Interfund Transfers	419,408	387,782	(31,626)
Total Revenue	<u>729,708</u>	<u>885,961</u>	<u>111,934</u>
Expenditures			
General Government	692,708	669,602	23,106
Parks and Recreation	36,955	96,647	(59,692)
Capital Outlay	-	186,174	(186,174)
Other expenditures	-	857,837	(857,837)
Total Expenditures	<u>729,663</u>	<u>1,810,260</u>	<u>(1,080,597)</u>

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management’s Discussion and Analysis, Continued

General Fund Budgetary Highlights, Continued

Tax and assessment revenues are administered by Mendocino County and are largely budgeted conservatively due to changes in timing, policy, and agency structure of the tax authority. Realization and ratios of collectability can be estimated using default tax roles provided subsequent to budget development.



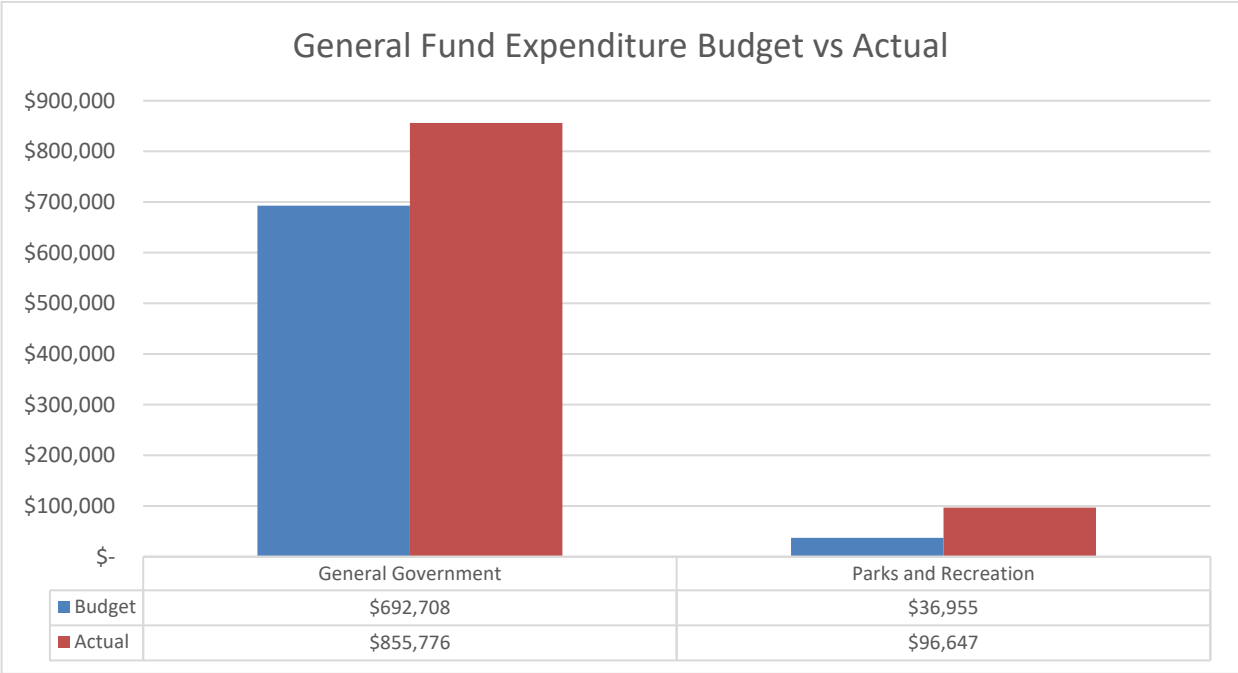
The general fund’s revenue sources are concentrated in tax assessments. Management approaches this with conservative budgeting and adequate reserves. Additional realized assessments were made by repaid default accounts in arrears.

The district continues to earn higher returns than anticipated from its investments. These investments are primarily set aside for emergency needs and are therefore budgeted conservatively. This year’s budget was adopted before the district secured a new contract for trash collection.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management’s Discussion and Analysis, Continued

General Fund Budgetary Highlights, Continued



Cost overruns on the general funds’ expenditure mainly reflect the additional investment in the new office building intended to replace the existing space. The current office building is dated and would require significant investment for its continued administrative use and public interaction. Other unbudgeted costs include a water re-use feasibility study that was entirely covered through a reimbursement grant. The net effect of the grant is noteworthy in analyses of revenues or expenditures. However, the re-use study was fully reimbursed during the period and yielded zero impact on district financial statements.

Due to increased public requests, more staff time has been allocated to parks and recreation service. As the district expands popular trails and other outdoor activities, the maintenance demand and upkeep costs have increased.

Economic Factors and Outlook

The Brooktrails Township is anticipated to experience little to no population growth along with modest growth in household income. Unemployment throughout the County has remained stable at 5.5% and is expected to remain comparable. The district has little exposure to other external factors and regards local economic trends as favorable.

A recent release from the US Census Bureau detailed massive increases to household income potentially hampering the district’s pursuit of grant funding. The district regards these statistics as the product of limited sample sizing and lack of attention to significant year over year deviations versus historically stable data.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Management's Discussion and Analysis, Continued

Request for Financial Information

This financial report was designed to provide the District's customers, investors, stakeholders, and other interested parties with an overview of the District's financial operations and financial condition. Should the reader have questions regarding the information included in this report or wish to request additional financial information, please contact Tom Simms, Deputy Finance Officer, at 24860 Birch Street, Willits, CA 95490.

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BASIC FINANCIAL STATEMENTS

Brooktrails Township Community Services District
Statement of Net Position
June 30, 2025

	Governmental Activities	Business-type Activities	Total
ASSETS			
Current assets:			
Cash and investments	\$ -	\$ 2,039,294	\$ 2,039,294
Receivables:			
Taxes receivable	287,851	-	287,851
Accounts receivable, net	416,685	493,672	910,357
Intergovernmental receivable	-	5,420	5,420
Prepaid expenses	89,530	267,119	356,649
Inventories	-	33,332	33,332
Internal balances	(626,426)	626,426	-
Total current assets	167,640	3,465,263	3,632,903
Noncurrent assets:			
Capital assets, net	5,465,573	6,331,438	11,797,011
Total noncurrent assets	5,465,573	6,331,438	11,797,011
Total assets	5,633,213	9,796,701	15,429,914
DEFERRED OUTFLOWS OF RESOURCES			
Pension plan	216,018	309,243	525,261
Other postemployment benefits	1,401	4,142	5,543
Total assets and deferred outflows of resources	\$ 5,850,632	\$ 10,110,086	\$ 15,960,718
LIABILITIES			
Current liabilities:			
Accounts payable	\$ 28,556	\$ 66,368	\$ 94,924
Accrued liabilities	27,876	21,551	49,427
Compensated absences	30,229	96,433	126,662
Due within one year	64,564	80,000	144,564
Total current liabilities	151,225	264,352	415,577
Noncurrent liabilities:			
Due after one year	220,787	2,644,659	2,865,446
Net pension liability	1,055,671	1,511,265	2,566,936
Net OPEB liability	8,926	26,364	35,290
Total noncurrent liabilities	1,285,384	4,182,288	5,467,672
Total liabilities	1,436,609	4,446,640	5,883,249
DEFERRED INFLOWS OF RESOURCES			
Pension plan	28,439	40,714	69,153
Other postemployment benefits	8,294	24,501	32,795
Total deferred inflows of resources	36,733	65,215	101,948
NET POSITION			
Net investment in capital assets	5,465,573	3,606,779	9,072,352
Unrestricted	(1,088,283)	1,991,452	903,169
Total net position	4,377,290	5,598,231	9,975,521
Total liabilities, deferred inflows of resources and net position	\$ 5,850,632	\$ 10,110,086	\$ 15,960,718

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Statement of Activities
For the year ended June 30, 2025

Functions/Programs	Expenses	Program Revenues		Net (Expense) Revenue and Changes in Net Position		Totals
		Charges for Services	Operating Grants and Contributions	Governmental Activities	Business-Type Activities	
Primary government:						
Governmental activities:						
General Administration	\$ 1,348,065	\$ 3,380	\$ -	\$ (1,344,685)	\$ -	\$ (1,344,685)
Parks and recreation	76,772	-	-	(76,772)	-	(76,772)
Fire services	1,065,833	162,403	255,282	(648,148)	-	(648,148)
Interest and fiscal charges	12,100	-	-	(12,100)	-	(12,100)
Total governmental activities	2,502,770	165,783	255,282	(2,081,705)	-	(2,081,705)
Business-type activities:						
Water	2,079,603	1,614,704	84,537	-	(380,362)	(380,362)
Sewer	1,946,450	1,592,535	-	-	(353,915)	(353,915)
Total business-type activities	4,026,053	3,207,239	84,537	-	(734,277)	(734,277)
Total primary government	\$ 6,528,823	\$ 3,373,022	\$ 339,819	\$ (2,081,705)	\$ (734,277)	\$ (2,815,982)
General revenues:						
Taxes:						
Property taxes, levied for general purposes:				\$ 425,696	\$ -	\$ 425,696
Special fire taxes				680,498	-	680,498
Franchise fees				44,319	-	44,319
Investment earnings				24,908	44,132	69,040
Other revenues				14,742	150	14,892
Total general revenues				1,190,163	44,282	1,234,445
Transfers				368,393	(368,393)	-
Change in net position				(523,149)	(1,058,388)	(1,581,537)
Net position:						
Beginning of year				4,900,439	6,656,619	11,557,058
End of year				\$ 4,377,290	\$ 5,598,231	\$ 9,975,521

The accompanying notes are an integral part of these basic financial statements.

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FUND FINANCIAL STATEMENTS
MAJOR FUNDS

The Fund Financial Statements present only individual major funds, while non-major funds are combined in a single column. Major funds are defined as having significant activities or balances in the current year.

Fund	Description
Governmental Funds:	
General Fund	Primary operating fund of the District; accounts for all activities except those legally or administratively required to be accounted for in other funds.
Fire Services Fund	Accounts for the special fire tax levied and used to fund fire protection services.

Brooktrails Township Community Services District

Balance Sheet

Governmental Funds

June 30, 2025

	General Fund	Fire Services Fund	Totals
ASSETS			
Cash and investments	\$ -	\$ -	\$ -
Taxes receivable	277,945	9,906	287,851
Other receivables	23,704	392,981	416,685
Prepaid expenses	45,872	43,658	89,530
Total assets	\$ 347,521	\$ 446,545	\$ 794,066
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 28,047	\$ 509	\$ 28,556
Accrued liabilities	17,869	10,007	27,876
Due to other funds	441,103	185,323	626,426
Compensated absences	24,084	6,145	30,229
Total liabilities	511,103	201,984	713,087
Fund balances:			
Nonspendable	45,872	43,658	89,530
Assigned	-	200,903	200,903
Unassigned (deficit)	(209,454)	-	(209,454)
Total fund balances	(163,582)	244,561	80,979
Total liabilities and fund balances	\$ 347,521	\$ 446,545	\$ 794,066

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Reconciliation of the Governmental Funds Balance Sheet
to the Statement of Net Position
June 30, 2025

Total fund balances - governmental funds	\$ 80,979
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not current financial resources and, therefore, are not reported in the governmental funds balance sheet.	5,465,573
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Long-term liabilities are not due and payable in the current period and, therefore, are not reported in the governmental funds balance sheet.

Financed purchases	(285,351)	
Net pension liability	(1,055,671)	
Net OPEB liability	(8,926)	(1,349,948)
	<u> </u>	

Pension obligations result in deferred outflows and inflows of resources associated with the actuarial value of contributions, assets, and liabilities.

Deferred outflows	217,419	
Deferred inflows	(36,733)	180,686
	<u> </u>	<u> </u>

Net position of governmental activities	\$ 4,377,290
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The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Reconciliation of Fund Basis Balance Sheet to Government-wide Statement of Net Position
Governmental Activities
June 30, 2025

	Governmental Funds Balance Sheet	Reclassifications	Changes in GAAP	Statement of Net Position
ASSETS				
Current assets:				
Cash and investments	\$ -	\$ -	\$ -	\$ -
Taxes receivable	287,851	-	-	287,851
Other receivables	416,685	-	-	416,685
Prepaid expenses	89,530	-	-	89,530
Internal balances	-	(626,426)	-	(626,426)
Total current assets	794,066	(626,426)	-	167,640
Noncurrent assets:				
Capital assets, net	-	-	5,465,573	5,465,573
Total noncurrent assets	-	-	5,465,573	5,465,573
Total assets	794,066	(626,426)	5,465,573	5,633,213
DEFERRED OUTFLOWS OF RESOURCES				
Pension plan	-	-	216,018	216,018
Other postemployment benefits	-	-	1,401	1,401
Total assets and deferred outflows of resources	\$ 794,066	\$ (626,426)	\$ 5,682,992	\$ 5,850,632
LIABILITIES				
Current liabilities:				
Accounts payable	\$ 28,556	\$ -	\$ -	\$ 28,556
Accrued liabilities	27,876	-	-	27,876
Due to other funds	626,426	(626,426)	-	-
Compensated absences - current portion	30,229	-	-	30,229
Financed purchases due within one year	-	-	64,564	64,564
Total current liabilities	713,087	(626,426)	64,564	151,225
Noncurrent liabilities:				
Financed purchases	-	-	220,787	220,787
Net pension liability	-	-	1,055,671	1,055,671
Net OPEB obligation	-	-	8,926	8,926
Total noncurrent liabilities	-	-	1,285,384	1,285,384
Total liabilities	713,087	(626,426)	1,349,948	1,436,609
DEFERRED INFLOWS OF RESOURCES				
Pension plan	-	-	28,439	28,439
Other postemployment benefits	-	-	8,294	8,294
Total deferred outflows of resources	-	-	36,733	36,733
FUND BALANCES/NET POSITION				
Fund balances:				
Nonspendable	89,530	(89,530)	-	-
Assigned	200,903	(200,903)	-	-
Unassigned (deficit), reported in:	(209,454)	209,454	-	-
Net position:				
Net investment in capital assets	-	-	5,465,573	5,465,573
Unrestricted	-	80,979	(1,169,262)	(1,088,283)
Total fund balances/ net position	80,979	-	4,296,311	4,377,290
Total liabilities, deferred inflows of resources and net position	\$ 794,066	\$ (626,426)	\$ 5,682,992	\$ 5,850,632

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the year ended June 30, 2025

	General Fund	Fire Services Fund	Totals
REVENUES:			
Property taxes	\$ 425,696	\$ -	\$ 425,696
Special fire taxes	-	680,498	680,498
Intergovernmental:			
Grants	-	74,909	74,909
Proposition 172 allocation	-	180,373	180,373
Charges for services:			
Strike team revenues	-	162,403	162,403
Planning fees	2,030	1,350	3,380
Franchise fees	44,319	-	44,319
Interest	19,667	5,241	24,908
Other revenues	6,467	8,275	14,742
Total revenues	498,179	1,113,049	1,611,228
EXPENDITURES:			
Current:			
General government:			
Administration	669,602	-	669,602
Recreation	96,647	-	96,647
Fire protection services	-	799,449	799,449
Capital outlay	186,174	157,261	343,435
Debt service:			
Principal	-	62,876	62,876
Interest and fiscal charges	-	12,100	12,100
Total expenditures	952,423	1,031,686	1,984,109
REVENUES OVER (UNDER) EXPENDITURES	(454,244)	81,363	(372,881)
OTHER FINANCING SOURCES (USES):			
Write-down of accounts receivable	(857,837)	(389,734)	(1,247,571)
Transfers in	387,782	-	387,782
Transfers out	-	(19,389)	(19,389)
Total other financing sources (uses)	(470,055)	(409,123)	(879,178)
Net change in fund balances	(924,299)	(327,760)	(1,252,059)
FUND BALANCES:			
Beginning of year	760,717	572,321	1,333,038
End of year	\$ (163,582)	\$ 244,561	\$ 80,979

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Reconciliation of Fund Basis Statements to Government-wide Statement of Activities
For the year ended June 30, 2025

Functions/Programs	Fund Based Totals	Compensated Absences/ Debt	Depreciation	Capital Asset (Additions), Retirements & Adjustments	OPEB Obligation	Pension Plan	Write-down of Accounts Receivable	Government- wide Totals
Governmental activities:								
Current:								
General government:								
Administration	\$ 669,602	\$ -	\$ 2,388	\$ -	\$ (14,367)	\$(167,395)	\$ 857,837	\$ 1,348,065
Recreation	96,647	-	7,052	-	-	(26,927)		76,772
Fire protection services	799,449	-	80,215	6,868	-	(210,433)	389,734	1,065,833
Capital outlay	343,435	-	-	(343,435)	-	-	-	-
Debt service:								
Principal	62,876	(62,876)	-	-	-	-	-	-
Interest and fiscal charges	12,100	-	-	-	-	-	-	12,100
Total governmental activities	\$ 1,984,109	\$ (62,876)	\$ 89,655	\$ (336,567)	\$ (14,367)	\$(404,755)	\$ 1,247,571	\$ 2,502,770

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Reconciliation of the Statement of Revenues, Expenditures, and Changes in
Fund Balances of Governmental Funds to the Statement of Activities
For the year ended June 30, 2025

Net change in fund balances - governmental funds		\$ (1,252,059)
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Amounts reported for governmental activities in the Statement of Activities are different because:

Governmental funds report capital outlays as expenditures while governmental activities report depreciation expense to allocate those expenditures over the life of the assets:

Capital asset purchases capitalized	\$ 343,435	
Capital asset adjustments	(6,868)	
Depreciation expense	<u>(89,655)</u>	246,912

Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds:

Change in net pension liability	404,755	
Change in net OPEB liability	<u>14,367</u>	419,122

Repayment of long-term debt uses current financial resources, but reduces liabilities in the statement of net position

Change in long term debt		62,876
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Change in net position of governmental activities		<u><u>\$ (523,149)</u></u>
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The accompanying notes are an integral part of these basic financial statements.

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Brooktrails Township Community Services District
Statement of Revenues, Expenditures, and Changes in Fund Balances -
Budget to Actual - General Fund and Major Special Revenue Funds
For the year ended June 30, 2025

	General Fund				Fire Services Fund			
	Budgeted Amounts		Variance w/Final		Budgeted Amounts		Variance w/Final	
	Original	Final	Actual	Positive (Negative)	Original	Final	Actual	Positive (Negative)
REVENUES:								
Property taxes	\$306,000	\$ 306,000	\$ 425,696	\$ 119,696	\$ -	\$ -	\$ -	\$ -
Special fire taxes		-	-	-	600,000	600,000	680,498	80,498
Intergovernmental:								
Grants	-	-	-	-	-	-	74,909	-
Proposition 172 allocation		-	-	-	125,000	125,000	180,373	55,373
Charges for services:								
Strike team revenues		-	-	-	-	-	162,403	162,403
Planning fees	3,500	3,500	2,030	(1,470)	-	-	1,350	1,350
Franchise fees	-	-	44,319	44,319	-	-	-	-
Interest	300	300	19,667	19,367			5,241	5,241
Other revenue	500	500	6,467	5,967	-	-	8,275	8,275
Total revenues	310,300	310,300	498,179	187,879	725,000	725,000	1,113,049	313,140
EXPENDITURES:								
Current:								
General government:								
Administration	692,708	692,708	669,602	23,106	-	-	-	-
Recreation	36,955	36,955	96,647	(59,692)	-	-	-	-
Fire protection services	-	-	-	-	705,432	705,432	799,449	(94,017)
Capital outlay	-	-	186,174	(186,174)	-	-	157,261	(157,261)
Debt service:								
Principal	-	-	-	-	-	-	62,876	(62,876)
Interest and fiscal charges	-	-	-	-	-	-	12,100	(12,100)
Total expenditures	729,663	729,663	952,423	(222,760)	705,432	705,432	1,031,686	(326,254)
REVENUES OVER (UNDER)								
EXPENDITURES	(419,363)	(419,363)	(454,244)	(34,881)	19,568	19,568	81,363	61,795
OTHER FINANCING SOURCES (USES):								
Other revenue (expenditures)	-	-	(857,837)	(857,837)	-	-	(389,734)	(389,734)
Transfers in	419,408	419,408	387,782	(31,626)	-	-	-	-
Transfers out	-	-	-	-	(19,270)	(19,270)	(19,389)	(119)
Total other financing sources (uses)	419,408	419,408	(470,055)	(889,463)	(19,270)	(19,270)	(409,123)	(389,853)
Net change in fund balances	45	45	(924,299)	(924,344)	298	298	(327,760)	(328,058)
FUND BALANCES:								
Beginning of year	760,717	760,717	760,717	-	572,321	572,321	572,321	-
End of year	\$ 760,762	\$ 760,762	\$ (163,582)	\$ (924,344)	\$ 572,619	\$ 572,619	\$ 244,561	\$ (328,058)

The accompanying notes are an integral part of these basic financial statements.

PROPRIETARY FUNDS

Proprietary funds account for District's operations financed and operated in a manner similar to a private business enterprise. The intent of the District is that the cost of providing goods and services be financed primarily through user charges.

All of the District's Enterprise Funds have been identified as major proprietary funds.

Fund	Description
MAJOR FUNDS:	
Water	Accounts for all activities associated with the operation and maintenance of providing water services within the District.
Sewer	Accounts for all activities associated with the operation and maintenance of providing sewage services within the District.

Brooktrails Township Community Services District
Statement of Net Position
Enterprise Funds
June 30, 2025

	Water	Sewer	Totals
ASSETS			
Current assets:			
Cash and investments	\$ 1,441,018	\$ 598,276	\$ 2,039,294
Receivables:			
Accounts receivable, net	264,463	229,209	493,672
Intergovernmental receivables	570	4,850	5,420
Prepaid expenses	120,956	146,163	267,119
Inventories	33,332	-	33,332
Due from other funds	-	626,426	626,426
Total current assets	1,860,339	1,604,924	3,465,263
Noncurrent assets:			
Capital assets, net	5,045,132	1,286,306	6,331,438
Total assets	6,905,471	2,891,230	9,796,701
DEFERRED OUTFLOWS OF RESOURCES			
Pension plan	154,408	154,835	309,243
OPEB	1,737	2,405	4,142
Total assets and deferred outflows of resources	\$ 7,061,616	\$ 3,048,470	\$ 10,110,086
LIABILITIES			
Current liabilities:			
Accounts payable	\$ 52,512	\$ 13,856	\$ 66,368
Accrued liabilities	10,547	11,004	21,551
Compensated absences - current portion	51,696	44,737	96,433
Long-term debt - due within one year	80,000	-	80,000
Total current liabilities	194,755	69,597	264,352
Noncurrent liabilities:			
Long-term debt	2,644,659	-	2,644,659
Net pension liability	754,589	756,676	1,511,265
Net OPEB liability	11,056	15,308	26,364
Total liabilities	3,605,059	841,581	4,446,640
DEFERRED INFLOWS OF RESOURCES			
Pension plan	20,329	20,385	40,714
OPEB	10,275	14,226	24,501
Total deferred inflows of resources	30,604	34,611	65,215
NET POSITION			
Net investment in capital assets	2,320,473	1,286,306	3,606,779
Unrestricted	1,105,480	885,972	1,991,452
Total net position	3,425,953	2,172,278	5,598,231
Total liabilities, deferred inflows of resources and net position	\$ 7,061,616	\$ 3,048,470	\$ 10,110,086

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Statement of Revenues, Expenses, and Changes in Fund Net Position
Enterprise Funds
For the year ended June 30, 2025

	Water	Sewer	Totals
OPERATING REVENUES:			
Sale of water	\$ 1,471,554	\$ -	\$ 1,471,554
Service fees	-	1,299,831	1,299,831
Availability charges	-	217,948	217,948
Penalties	-	74,756	74,756
Other operating revenues	143,150	-	143,150
Total operating revenues	1,614,704	1,592,535	3,207,239
OPERATING EXPENSES:			
Personnel services	719,647	783,844	1,503,491
Contractual services	90,376	23,789	114,165
Intergovernmental treatment costs	-	364,014	364,014
Utilities	223,038	25,081	248,119
Insurance	88,034	87,271	175,305
Other supplies and expenses	408,180	163,892	572,072
Depreciation	358,895	65,468	424,363
Total operating expenses	1,888,170	1,513,359	3,401,529
OPERATING INCOME(LOSS)	(273,466)	79,176	(194,290)
NONOPERATING REVENUES (EXPENSES):			
Write-down of accounts receivable	(122,535)	(175,600)	(298,135)
Other nonoperating revenues (expenses)	(13,005)	(256,038)	(269,043)
Intergovernmental revenue	42,528	42,009	84,537
Gain/loss on the sale of assets	75	75	150
Interest revenue	24,877	19,255	44,132
Interest expense	(55,893)	(1,453)	(57,346)
Total non-operating revenues, net	(123,953)	(371,752)	(495,705)
NET INCOME BEFORE TRANSFERS	(397,419)	(292,576)	(689,995)
Transfers in	-	-	-
Transfers out	(193,891)	(174,502)	(368,393)
Total transfers	(193,891)	(174,502)	(368,393)
CHANGE IN NET POSITION	(591,310)	(467,078)	(1,058,388)
NET POSITION:			
Beginning of year	4,017,263	2,639,356	6,656,619
End of year	<u>\$ 3,425,953</u>	<u>\$ 2,172,278</u>	<u>\$ 5,598,231</u>

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District

Statement of Cash Flows

Enterprise Funds

For the year ended June 30, 2025

	Water	Sewer	Totals
CASH FLOWS FROM OPERATING ACTIVITIES:			
Receipts from customers	\$ 1,748,768	\$ 1,756,527	\$ 3,505,295
Cash payments to suppliers for goods and services	(877,108)	(624,319)	(1,501,427)
Cash payments to employees for services	(311,445)	(765,843)	(1,077,288)
Net cash provided by operating activities	560,215	366,365	926,580
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:			
Nonoperating amounts received (paid)	(13,005)	(256,038)	(269,043)
Grants received	42,528	42,009	84,537
Transfers received (paid)	(193,891)	(231,588)	(425,479)
Net cash used by noncapital financing activities	(164,368)	(445,617)	(609,985)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:			
Payments of notes payable	(98,931)	(29,013)	(127,944)
Interest paid	(55,893)	(1,453)	(57,346)
Acquisition and construction of capital assets	(334,251)	(131,003)	(465,254)
Proceeds from the sale of capital assets	75	75	150
Net cash (used) by capital and related financing activities	(489,000)	(161,394)	(650,394)
CASH FLOWS FROM INVESTING ACTIVITIES:			
Investment income received	24,877	19,255	44,132
Net cash provided by investing activities	24,877	19,255	44,132
Net increase (decrease) in cash and cash equivalents	(68,276)	(221,391)	(289,667)
CASH AND CASH EQUIVALENTS:			
Beginning of year	1,631,829	995,267	2,627,096
End of year	<u>\$ 1,563,553</u>	<u>\$ 773,876</u>	<u>\$ 2,337,429</u>
Reconciliation of income from operations to net cash provided by operating activities:			
Operating income (loss)	\$ (273,466)	\$ 79,176	\$ (194,290)
Adjustments to reconcile operating income to net cash provided by operating activities:			
Depreciation	358,895	65,468	424,363
Pension expense	387,487	401,496	788,983
OPEB expense	(3,392)	1,279	(2,113)
(Increase) decrease in current assets:			
Accounts receivable	11,529	(11,608)	(79)
Intergovernmental receivables	122,535	175,600	298,135
Prepaid expenses	(76,239)	(106,475)	(182,714)
Inventory	(11,945)	-	(11,945)
Increase (decrease) in liabilities:			
Accounts payable and accrued liabilities	20,704	(255,293)	(234,589)
Compensated absences	24,107	16,722	40,829
Net cash provided by operating activities	\$ 560,215	\$ 366,365	\$ 926,580
There were no noncash investing, capital, or financing activities affecting recognized assets and liabilities for the year ended June 30, 2025.			

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Statement of Fiduciary Net Position
Fiduciary Activities
June 30, 2025

	Retired Employees Health Care Plan
ASSETS	
Cash and investments	\$ 55,098
Total assets	<u>\$ 55,098</u>
LIABILITIES	
Accounts payable	\$ -
Total liabilities	<u>-</u>
NET POSITION	
Held in trust for other postemployment benefits	55,098
Total Net Position	<u>55,098</u>
Total liabilities and net position	<u>\$ 55,098</u>

The accompanying notes are an integral part of these basic financial statements.

Brooktrails Township Community Services District
Statement of Changes Fiduciary Net Position
Fiduciary Activities
June 30, 2025

	Retired Employees Health Care Plan
Additions	
Investment income	\$ 5,534
Other additions	-
Total additions	<u>5,534</u>
Deductions	
Other deductions	-
Total deductions	<u>-</u>
Net increase	5,534
Net position held in trust for other post employment benefits:	
Beginning of year	49,564
End of year	<u><u>\$ 55,098</u></u>

The accompanying notes are an integral part of these basic financial statements.

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Brooktrails Township Community Services District

Basic Financial Statements

For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The financial statements of Brooktrails Township Community Services District (District) have been prepared in conformity with accounting principles generally accepted in the United States of America (GAAP) as applied to governmental enterprises classified as proprietary fund types. The Governmental Accounting Standards Board (GASB) is the standard-setting body for governmental accounting and financial reporting. On June 15, 1987, GASB issued a codification of the existing Governmental Accounting and Financial Reporting Standards which, along with subsequent GASB pronouncements (Statements and Interpretations), constitutes GAAP for governmental units. The District applies all GASB pronouncements to its activities. When applicable, certain prior year amounts have been reclassified to conform to current year presentation. The following is a summary of the more significant policies:

A. Description of the Reporting Entity

The District is a Community Services District governed by an elected five-member Board of Directors. The accompanying financial statements present the government and its component units, entities for which the government is considered to be financially accountable. The Maintenance District 1976-1 and Maintenance District One are legally separate entities for which the District is financially accountable and they are governed by the elected Board of Directors. The financial activities of the Maintenance Districts are blended with those of the District and are reported in the District's water and general funds, respectively.

B. Government-Wide and Fund Financial Statements

The government-wide financial statements (i.e., the statement of net position and the statement of changes in activities) report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely, to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*, as are the proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Property taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current fiscal period. All other revenue items are considered to be measurable and available only when cash is received by the government.

The District reports the following major governmental funds:

The *General Fund* is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

The *Fire Services Fund* is maintained to account for the special fire tax levied and used to fund fire protection services.

The District reports the following major proprietary funds:

The *water fund* accounts for the operations of the District's water treatment and distribution system.

The *wastewater fund* accounts for the operation of the District's wastewater collection activities.

The District reports as a fiduciary fund its other post-employment benefit plan trust assets and financial operations.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation, Continued

The District applies all applicable Financial Accounting Standards Board (FASB) pronouncements issued before November 30, 1989 in accounting for its proprietary and government-wide operations, and the provisions of GASB Statement Number 62, Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the District's water and wastewater function and other functions of the District. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with the proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise funds are charges to customers for sales and services. Operating expenses for the enterprise funds include the costs of sales and services, administration costs and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

D. Assets, Liabilities, and Net Assets or Equity

Deposits and Investments

The District is authorized by its most recent investment policy to invest in the State of California Local Agency Investment Fund, U.S. Treasury bonds, bills, and notes, obligations issued by US Government agencies, bankers' acceptances, repurchase agreements, and time deposits and savings and demand accounts.

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition.

Investments for the District are reported at fair value. The State Treasurer's Investment Pool operates in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool shares.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

D. Assets, Liabilities, and Net Assets or Equity, Continued

Receivables and Payables

Activity between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e., the current portion of interfund loans) or "advances to/from other funds" (i.e., the non-current portion of interfund loans). All other outstanding balances between funds are reported as "due to/from other funds." Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances." Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in applicable government funds to indicate that they are not available for appropriation and are not expendable available financial resources.

All trade and property tax receivables are not shown net of an allowance for uncollectibles.

Property taxes are levied as of March 1 on property values assessed as of the same date. State statutes provide that the property tax rate be limited generally to one percent of market value, be levied by only the County, and be shared by applicable jurisdictions. The County of Mendocino collects the taxes and distributes them to taxing jurisdictions on the basis of assessed valuations subject to voter-approved debt. Property taxes are due on November 1 and March 1, and become delinquent on December 10 and April 10. The District receives general property taxes under the "Teeter Plan". The District recognizes property tax revenues in the fiscal year in which they are levied. Water and wastewater charges for service remaining unpaid for more than six months are recorded as other receivable, and liens are recorded on the underlying properties. When properties are sold or transferred, the liens are paid and payments forwarded to the District by title companies. Water and sewer availability fees and the special fire tax are not subject to "Teeter Plan" arrangements. Delinquent availability fees, delinquent fire taxes, and related penalties and interest are recorded as long-term receivables. Delinquent fire taxes receivable are offset by deferred inflows in the fire fund, and are recognized as revenues when received. Delinquencies more than 3 years past due are not reported as receivable as they have entered into the tax sale recovery period and collection is doubtful after reaching tax sale status without collection.

Inventories and Prepaid Items

All inventories are valued at cost using the first-in/first-out (FIFO) method. Inventories of governmental funds are recorded as expenditures when used or consumed. Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

D. Assets, Liabilities, and Net Assets or Equity, Continued

Capital Assets

Capital assets, which include property, plant, equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items), are reported in the applicable governmental-type or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$10,000 and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation. Under the GASB 34 Implementation Rules, the District is a Phase 3 entity and was not required to record infrastructure assets existing or acquired prior to July 1, 2003 at the date these new financial reporting standards were implemented; and the District has not recorded such assets. The costs of normal maintenance and repairs that do not add to the value of asset or materially extend assets lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Property, plant, and equipment of the District is depreciated using the straight line method over the following estimated useful lives:

<u>Assets</u>	<u>Years</u>
Buildings and improvements	40
Public domain infrastructure	50
System infrastructure	50
Vehicles and equipment	5 - 10

Compensated Absences and Termination Benefits

It is the government's policy to permit employees to accumulate earned but unused vacation and sick pay benefits. There is a liability for a portion of unpaid accumulated sick leave since the District does have a policy to pay certain amounts when employees separate from service with the District. All vacation pay and applicable sick leave is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in the governmental funds only if they have matured, for example, as a result of employee resignations and retirements. Termination benefits are reported as liabilities when the District and employees have reached a formal agreement as to the benefit amounts and payment terms.

Long-term Obligations

In the government-wide financial statements, and the proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities or proprietary fund type statement of net assets.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

D. Assets, Liabilities, and Net Assets or Equity, Continued

Fund Balance - Governmental Funds

Fund balances for governmental funds are reported in classifications based primarily on the extent to which the District is bound to honor constraints about the specific purposes for which amounts in those funds can be spent. These classifications include (1) nonspendable, (2) committed, (3) assigned and (4) unassigned amounts.

Nonspendable amounts generally are items not expected to be converted into cash such as inventories and prepaid amounts. Restricted amounts include those where constraints placed on the use of the resources are externally imposed by grantors, contributors, other governments, or by laws and regulations. Committed amounts are those amounts that can only be used for a specific purpose as determined by the District's Board of Directors. Such committed amounts may be redeployed for other uses only by the direction of the District's Board of Directors. Assigned amounts are fund balance amounts constrained by the District's intent to be used for specific purposes as determined by the District's General Manager. The unassigned fund balance amounts are the residual classification of the general fund only.

When expenditures are incurred for which both restricted and unrestricted (committed, assigned or unassigned) amounts are available, the District considers restricted amounts to have been spent first. When expenditures are incurred for which any class of unrestricted fund balance could be used, the District considers committed amounts would be reduced first, followed by assigned amounts, and then unassigned amounts.

Comparative Data

Comparative total data for the prior year have been presented in order to provide an understanding of the changes in net assets. Also, certain amounts presented in the prior year data have been reclassified to be consistent with the current years' presentation.

Pensions and Other Postemployment Benefits

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the State of California Public Employees Retirement System (PERS) and additions to or deductions from the PERS fiduciary net position have been determined on the same basis as they are reported by the PERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES, Continued

D. Assets, Liabilities, and Net Assets or Equity, Continued

Pensions and Other Postemployment Benefits, Continued

For purposes of measuring the net other postemployment benefit liability (OPEB), deferred outflows of resources of resources, deferred inflows of resources, and OPEB expense, information about the fiduciary net position of the District's OPEB Plan, and additions to and deductions from the Plan's fiduciary net position have been determined on the same basis as they are reported by the plan, and are provided based upon an actuarial valuation of the Plan. Benefit payments are recognized when due and payable in accordance with the benefit terms.

Fair Value Measurements

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of an asset. Level 1 inputs are quoted market prices in active markets for identical assets; Level 2 inputs are significant other observable inputs, and Level 3 inputs are significant unobservable inputs. The District has no significant separately held investments as its invested funds are held by California Cooperative Liquid Assets Securities System (CLASS). CLASS values its investments using pricing methods viewed as Level 1 inputs.

Budgetary Information

Annual budgets are adopted on a basis of consistent with generally accepted accounting principles for all governmental funds. Appropriations lapse at fiscal year-end. The appropriated budget is prepared by fund, function and department. The District Manager may make transfers of appropriations within a department. Transfers between departments and other changes require Board of Director's approval. The legal level of control is the department and fund level. The District made supplemental appropriations during the fiscal year. Encumbrance accounting is not employed in governmental funds.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

2. CASH AND INVESTMENTS

The District's cash and temporary investments are carried at market value, and include:

	Maturities (in years)				Fair
	< 1	1 to 2	> 2	Deposits	Market Value
<u>Cash equivalents and investments pooled</u>					
Pooled cash, at fair value:					
Cash in bank	\$ -	\$ -	\$ -	\$ 606,625	\$ 606,625
Petty cash	-	-	-	600	600
CLASS	1,432,069	-	-	-	1,432,069
CERBT	55,098	-	-	-	55,098
Total pooled items	1,487,167	-	-	607,225	2,094,392
Total cash and cash equivalents	\$ 1,487,167	\$ -	\$ -	\$ 607,225	\$ 2,094,392
Financial Statement presentation:					
Governmental activities					\$ -
Business-type Activities					2,039,294
Fiduciary activities					55,098
Total					\$ 2,094,392

California Law requires banks and savings and loan institutions to pledge government securities with a market value of 110% of the District's cash on deposit or first trust deed mortgage notes with a value of 150% of the District's cash on deposit as collateral for these deposits. Under California Law this collateral is held in an investment pool by an independent financial institution in the District's name and places the District ahead of general creditors of the institution pledging the collateral. The District has waived collateral requirements for the portion of deposits covered by federal deposit insurance.

The District's investments are carried at fair value, as required by generally accepted accounting principles. The District adjusts the carrying value of its investments to reflect their fair value at each fiscal year end, and it includes the effects of these adjustments in income for that fiscal year.

Custodial Credit Risk - Deposits. Custodial credit risk is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District's policy for deposits is that they will be made only in institutions in California, they shall be insured or collateralized with United States backed securities, and time certificates of deposit shall have a maturity of less than five years. At June 30, 2025, \$316,005 of the District's bank balances of \$566,005 was exposed to credit risk.

Interest Rate Risk - As a means of limiting its exposure to fair value losses arising from rising interest rates, the District's investment policy limits the District's investment portfolio to maturities prescribed in Sections 53600 through 53609 of the California Government Code. Credit Risk – State law limits investments in various securities to certain level of risk ratings issued by nationally recognized statistical rating organizations. It is the District's policy to comply with State law as regards securities ratings. The Local Agency Investment Pool is unrated. Custodial Credit Risk – For an investment, custodial credit risk is the risk that, in the event of the failure of a counterparty, the District will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The District's only investment is the CLASS. Because investments in CLASS are not evidenced by specific securities in the name of the District, CLASS is not subject to custodial credit risk.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

2. CASH AND INVESTMENTS, Continued

Investment in CLASS

The District is a voluntary participant in the California Cooperative Liquid Assets Securities System (California CLASS), a joint exercise of powers entity authorized under Section 6509.7, California Government Code. California CLASS is overseen and governed by a Board of Trustees, which consists of four members who are public agency finance professionals. The fund is audited annually. The fair value of the position in the investment pool is the same as the value of the pool shares.

3. CAPITAL ASSETS

Capital asset activity relating to governmental activities for the year ended June 30, 2025 was as follows:

Governmental Activities:

	July 1, 2024	Additions	Deletions	June 30, 2025
Nondepreciable assets:				
Land	\$ 4,651,094	\$ -	\$ -	\$ 4,651,094
Total nondepreciable assets	<u>4,651,094</u>	<u>-</u>	<u>-</u>	<u>4,651,094</u>
Depreciable assets:				
Buildings and improvements	775,737	154,055	-	929,792
Fire facilities	169,637	88,312	-	257,949
Fire vehicles and equipment	1,392,976	94,200	(40,158)	1,447,018
Other equipment	74,309	-	-	74,309
Total depreciable assets	<u>2,412,659</u>	<u>336,567</u>	<u>(40,158)</u>	<u>2,709,068</u>
Total	<u>7,063,753</u>	<u>336,567</u>	<u>(40,158)</u>	<u>7,360,162</u>
Accumulated depreciation:				
Buildings and improvements	(615,280)	(10,496)	-	(625,776)
Fire facilities	(165,372)	(2,388)	-	(167,760)
Fire vehicles and equipment	(1,004,500)	(74,590)	40,158	(1,038,932)
Other equipment	(59,940)	(2,181)	-	(62,121)
Total accumulated depreciation	<u>(1,845,092)</u>	<u>(89,655)</u>	<u>40,158</u>	<u>(1,894,589)</u>
Net depreciable assets	<u>567,567</u>	<u>246,912</u>	<u>-</u>	<u>814,479</u>
Total capital assets	<u>\$ 5,218,661</u>	<u>\$ 246,912</u>	<u>\$ -</u>	<u>\$ 5,465,573</u>

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

3. CAPITAL ASSETS, Continued

Depreciation expense was charged to functions/programs of the District as follows:

Governmental activities:	
General government	\$ 2,388
Recreation	7,052
Fire protection services	80,215
Total	<u><u>89,655</u></u>

Capital asset activity relating to business-type activities for the year ended June 30, 2025 was as follows:

Business-Type Activities:	July 1, 2024	Additions	Deletions	June 30, 2025
Nondepreciable assets:				
Land	\$ 53,618	\$ -	\$ -	\$ 53,618
Construction in progress	641,127	-	(641,127)	-
Total nondepreciable assets	<u>694,745</u>	<u>-</u>	<u>(641,127)</u>	<u>53,618</u>
Depreciable assets:				
Buildings	17,793,860	350,372	641,127	18,785,359
Equipment	2,517,203	114,881	-	2,632,084
Total depreciable assets	<u>20,311,063</u>	<u>465,253</u>	<u>641,127</u>	<u>21,417,443</u>
Total	<u>21,005,808</u>	<u>465,253</u>	<u>-</u>	<u>21,471,061</u>
Accumulated depreciation:				
Buildings	(13,469,854)	(320,401)	5,151	(13,785,104)
Equipment	(1,245,407)	(103,962)	(5,150)	(1,354,519)
Total accumulated depreciation	<u>(14,715,261)</u>	<u>(424,363)</u>	<u>1</u>	<u>(15,139,623)</u>
Net depreciable assets	<u>5,595,802</u>	<u>40,890</u>	<u>641,128</u>	<u>6,277,820</u>
Total capital assets	<u>\$ 6,290,547</u>	<u>\$ 40,890</u>	<u>\$ 1</u>	<u>\$ 6,331,438</u>

Depreciation expense was charged to functions/programs of the District as follows:

Business-Type activities	
Water	\$ 358,895
Sewer	65,468
Total	<u><u>424,363</u></u>

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

4. LONG-TERM DEBT

Long-Term Debt Activity

	Balance July 1, 2024	Additions	Retirements	Balance June 30, 2025	Due Within One Year
Governmental Activities					
Direct borrowings	\$ 164,214	\$ -	\$ (39,290)	\$ 124,924	\$ 40,131
Note Payable	184,013	-	(23,586)	160,427	24,433
Compensated absences	35,543	-	(5,314)	30,229	30,229
Total	<u>\$ 383,770</u>	<u>\$ -</u>	<u>\$ (68,190)</u>	<u>\$ 315,580</u>	<u>\$ 94,793</u>
Business-Type Activities					
Water Revenue Refunding					
Bonds, Series 2021	\$ 2,680,000	\$ -	\$ (75,000)	\$ 2,605,000	\$ 80,000
Premium	143,590	-	(23,931)	119,659	-
USDA Loan, 2010	29,013	-	(29,013)	-	-
Compensated Absences	55,604	40,829	-	96,433	96,433
Total	<u>\$ 2,908,207</u>	<u>\$ 40,829</u>	<u>\$ (127,944)</u>	<u>\$ 2,821,092</u>	<u>\$ 176,433</u>

Direct Borrowings – Financed Purchases

The District, in September 2017, entered into a borrowing arrangement with the First Capital Equipment Leasing Corporation for the purposes of financing the purchase of fire equipment, a fully equipped water tender truck. The financed portion of the purchase was \$420,000, bears interest of 3.580% and is payable in annual installments of \$44,744 ending on August 25, 2027. The loan is secured by a security agreement pledging the water tender as collateral.

Note Payable

The District, on June 22, 2021, entered into a borrowing arrangement with the First Capital Equipment Leasing Corporation for the purposes of financing the purchase and upgrade of fire equipment, a fully equipped squad truck. The loan was for \$249,971, bears interest at 3.596%, and is repayable in yearly installments of \$30,202 starting on May 14, 2022 and ending on May 14, 2031. The loan is secured by a security agreement pledging the vehicle as collateral.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

4. LONG-TERM DEBT, Continued

Water Revenue Refunding Bonds, Series 2021

On February 2, 2021 the District issued Water Revenue Refunding Bonds. The proceeds were used to refund existing Certificates of Participation and the USDA Loan. The bonds will bear interest between 2.25% and 4.00% and are payable semiannually on June 1 and December 1 of each year, commencing on June 1, 2021. The bonds were issued at a premium of \$239,317 which is being amortized over the life of the bond.

The District's future debt service will be:

Year Ending June 30,	Governmental Activities					
	Direct Borrowings			Note Payable		
	Principal	Interest	Total	Principal	Interest	Total
2026	\$ 40,131	\$ 4,643	\$ 44,774	\$ 24,433	\$ 5,768	\$ 30,201
2027	41,623	3,151	44,774	25,312	4,890	30,202
2028	43,170	1,604	44,851	26,222	3,980	30,202
2029	-	-	-	27,165	3,037	30,202
2030	-	-	-	28,142	2,060	30,202
2031-2032	-	-	-	29,153	1,048	30,201
Total	<u>\$ 124,924</u>	<u>\$ 9,398</u>	<u>\$ 134,399</u>	<u>\$ 160,427</u>	<u>\$ 20,783</u>	<u>\$ 181,210</u>
Due within one year	\$ 40,131	\$ 4,643	\$ 44,774	\$ 24,433	\$ 5,768	\$ 30,201
Due after one year	84,793	4,755	89,548	135,994	15,015	151,009
Total	<u>\$ 124,924</u>	<u>\$ 9,398</u>	<u>\$ 134,322</u>	<u>\$ 160,427</u>	<u>\$ 20,783</u>	<u>\$ 181,210</u>

Brooktrails Township Community Services District

Basic Financial Statements

For the year ended June 30, 2025

Notes to Basic Financial Statements

4. LONG-TERM DEBT, Continued

Year Ending June 30,	Business-Type Activities		
	Water Revenue Refunding Bonds, Series		
	Principal	Interest	Total
2026	\$ 80,000	\$ 75,575	\$ 155,575
2027	85,000	72,375	157,375
2028	85,000	68,975	153,975
2029	90,000	65,575	155,575
2030	95,000	61,975	156,975
2031-2035	515,000	274,125	789,125
2036-2040	605,000	191,325	796,325
2041-2045	685,000	104,138	789,138
2046-2049	365,000	27,675	392,675
Total	\$ 2,605,000	\$ 941,738	\$ 3,546,738
Due within one year	\$ 80,000	\$ 75,575	\$ 155,575
Due after one year	2,525,000	866,163	3,391,163
Total	\$ 2,605,000	\$ 941,738	\$ 3,546,738

5. NET POSITION/FUND BALANCES

Net Position

Net position at June 30, 2025 consisted of the following:

Description	Governmental Activities	Busniess-type Activities	Total
Net investment in capital assets	\$ 5,465,573	\$ 3,606,779	\$ 9,072,352
Unrestricted (deficit)	(1,088,283)	1,991,452	903,169
Total unrestricted net position	\$ 4,377,290	\$ 5,598,231	\$ 9,975,521

Net Investment in Capital Assets - This amount consists of capital assets net of accumulated depreciation and reduced by outstanding debt that is attributed to the acquisition, construction, or improvement of the assets.

Restricted – This amount consists of net assets set aside for debt service.

Unrestricted - This amount is all net assets that do not meet the definition of "*net investment in capital assets*".

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

5. NET POSITION/FUND BALANCES, Continued

Fund Balance

Fund balance consisted of the following at June 30, 2025:

Nonspendable:	
Major Funds	
General Fund	\$ 45,872
Fire Services Fund	43,658
Total Nonspendable	<u>89,530</u>
Assigned:	
Fire Services Fund	200,903
Total Assigned	<u>200,903</u>
Unassigned (deficit):	
Major Funds:	
General Fund	(209,454)
Total Major Funds- Unassigned	<u>(209,454)</u>
Total Unassigned	<u>(209,454)</u>
Total Fund Balance	<u>\$ 80,979</u>

Excess of Expenditures and Transfers Over Appropriations: Expenditures and transfers exceeded appropriations for the year ended June 30, 2025, for the following funds:

	<u>Final Budget</u>	<u>Total Expenditures and Transfers</u>	<u>Excess Expenditures Over Appropriations</u>
<u>Governmental Activities</u>			
Major Funds			
General Fund	\$ 729,663	\$ 780,169	\$ (50,506)
Fire Services Fund	724,702	1,051,075	(326,373)

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

6. INTERFUND TRANSACTIONS

Due to and from balances result from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments between funds are made.

Due to and due from other funds consisted of the following as of June 30, 2025:

	<u>Due from Other Funds</u>	<u>Due to Other Funds</u>
<u>Governmental Funds</u>		
Major Funds:		
General Fund	\$ -	\$ 441,103
Fire Services Fund	-	185,323
Total Major Funds	<u>-</u>	<u>626,426</u>
<u>Proprietary Funds</u>		
Major Enterprise Funds:		
Sewer	<u>626,426</u>	<u>-</u>
Major Enterprise Funds	<u>626,426</u>	<u>-</u>
Total	<u><u>\$ 626,426</u></u>	<u><u>\$ 626,426</u></u>

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, and (2) use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

	<u>Transfers In</u>	<u>Transfers Out</u>
<u>Governmental Funds</u>		
Major Funds:		
General Fund	\$ 387,782	\$ -
Fire services fund	-	19,389
Total Major Funds	<u>387,782</u>	<u>19,389</u>
Total Governmental Funds	<u>387,782</u>	<u>19,389</u>
<u>Proprietary Funds</u>		
Major Enterprise Funds		
Water	-	193,891
Sewer	-	174,502
Total Proprietary Funds	<u>-</u>	<u>368,393</u>
Total Transfers	<u><u>\$ 387,782</u></u>	<u><u>\$ 387,782</u></u>

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

7. RISK MANAGEMENT

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters for which the District carries insurance. The District, due to the costs of available coverage, participates as a member of the Special District Risk Management Authority (SDRMA) for purposes of general liability, property coverages and for workers compensation insurance.

SDRMA provides joint protection programs for public entities covering automobile, general liability, errors and omissions claims. Under the program, the District has a \$500 retention limit similar to a deductible with the SDRMA being responsible for losses above that amount up to \$2.5 million for liability combined single limit. Property coverage is also provided up to the replacement cost of the property with a combined total for SDRMA members of one billion per occurrence.

The SDRMA provides also employee dishonesty coverage with limits of \$654,000 per loss. Boiler and machinery coverage is provided to members with coverage of up to \$100 million of replacement cost, and comprehensive and collision on selected vehicles. The District's obligations under the arrangement are to pay billed premiums for the specified coverages. The SDRMA may pay dividends to members or may make additional assessments depending on loss experience, but no dividends have been declared and no additional assessments have been levied. The SDRMA workers compensation insurance coverage is provided up to the statutory limits per occurrence and \$5 million for Employer's liability coverage subject to the terms, conditions, and exclusions provided in the memorandum of Coverage. The District obtained such coverage through the SDRMA effective July 1, 2006. Financial information pertaining to SDRMA can be obtained from its administrative offices at 1112 I Street, Suite 300, Sacramento, California 95814.

Liabilities of the District are reported in the statement of net position when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported (IBNRs). The result of the process to estimate the claims liability is not an exact amount as it depends on many complex factors, such as inflation, changes in legal doctrines, and damage awards. Accordingly, claims are reevaluated periodically to consider the effects of inflation, recent claim settlement trends (including frequency and amount of pay-outs), and other economic and social factors. The District's only exposure to claim liabilities would be for losses or additional assessments, if any, not covered by or imposed by SDRMA.

There have been no significant changes in insurance coverages in fiscal 2025. Settlements have not exceeded coverage for each of the past three fiscal years. There were no significant claim liabilities at the end of fiscal 2025.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

8. PUBLIC EMPLOYEES' RETIREMENT SYSTEM (PERS)

A. General Information about the Pension Plans

Plan Descriptions - The plans are a cost-sharing multiple-employer defined benefit pension plan administered by the California Public Employees Retirement System (CalPERS). The CalPERS is governed by a 13 member Board of Administration with six elected members, three appointed members and four ex officio members which include the State Treasurer, the State Controller, the Director of the California Department of Human Services and a designee of the State Personnel Board.

Benefits Provided - The CalPERS provides retirement, disability and death benefits. Retirement benefits are defined as 2.5 percent of the employees final 12 months average compensation times the employee's years of service (2.0 percent for safety employees) Employees with 10 years of continuous are eligible to retire at age 55 (age 50 for safety employees) Employees are eligible for service-related disability benefits regardless of the length of service. Five years of service is required for non-service-related disability eligibility. Disability benefits are determined in the same manner as retirement benefits but are payable immediately without an actuarial reduction. Pre-retirement death benefits equal an employee's final full-year salary. Both plans provide for a 2 percent Cost of Living Adjustment (COLA). The public safety plan is closed to new entrants.

Contributions - Section 20814 of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employees be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ending June 30, 2024 (the measurement date), the active employee contribution rates was 6.25 or 7.0 percent of annual pay, and the employer contribution rate was 7.87 or 12.52 percent of annual payroll (11.05 and 17.55 percent for the safety plan).

For the year ended June 30, 2025, the contributions recognized as part of pension expense for the Plan were as follows:

	Miscellaneous	Safety
Contributions - employer	\$ 64,973	\$ 11,497

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

8. PUBLIC EMPLOYEES’ RETIREMENT SYSTEM (PERS), Continued

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

As of June 30, 2025, the District reported a net pension liability for its proportionate shares of the net pension liability of the Plan as follows:

	Proportionate Share of Net Pension Liability
Miscellaneous	<u>\$ 2,247,497</u>
Safety	<u>319,439</u>
Total Net Pension Liability	<u>\$ 2,566,936</u>

The District’s net pension liability for the Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2024, and the total pension liability for the Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2023 rolled forward to June 30, 2024 using standard update procedures. The District’s proportion of the net pension liability was based on a projection of the District’s long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined. The District’s proportionate share of the net pension liability for the Plan as of June 30, 2025 was as follows:

	<u>Total</u>
Proportion - June 30, 2024	0.02070%
Proportion - June 30, 2025	<u>0.02117%</u>
Change - Increase (Decrease)	0.00047%

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

8. PUBLIC EMPLOYEES' RETIREMENT SYSTEM (PERS), Continued

For the year ended June 30, 2025, the District recognized pension income of \$460,698. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Changes of Assumptions	\$ 65,635	\$ -
Differences between Expected and Actual Experience	220,385	(8,430)
Differences between Projected and Actual Investment Earnings	144,826	-
Differences between Employer's Contributions and Proportionate Share of Contributions	17,945	(14,407)
Change in Employer's Proportion	-	(46,316)
Pension Contributions Made Subsequent to Measurement Date	76,470	-
	<u>\$ 525,261</u>	<u>\$ (69,153)</u>

\$76,470 reported as deferred outflows of resources related to contributions subsequent to the measurement date and changes in proportions will be recognized as a reduction of the net pension liability in the year ended June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Year Ending June 30	
2026	\$ 114,922
2027	316,448
2028	(2,108)
2029	(49,624)
2030	-
Thereafter	-

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

8. PUBLIC EMPLOYEES’ RETIREMENT SYSTEM (PERS), Continued

Actuarial Assumptions - The June 30, 2023 valuation was rolled forward to determine the June 30, 2024 total pension liability based on the following actuarial methods and assumptions.

Actuarial Assumptions	
Valuation date	June 30, 2023
Measurement date	June 30, 2024
Actuarial cost method	Entry-age normal cost method
Actuarial assumptions:	
Discount rate	6.90%
Inflation	2.30%
Salary increases	Varies by entry age and service
Investment Rate of Return	6.90% net pension plan investment and administrative expenses; includes inflation
Post-retirement benefit increase	Contract COLA up to 2.30% until purchasing power protection allowance floor on purchasing power applies.

The mortality table was developed based on CalPERS-specific data. The rates incorporate Generational Mortality to capture ongoing mortality improvement using 80% of Scale MP 2020 published by the Society of Actuaries. For more details, please refer to the 2021 experience study report that can be found on the CalPERS website.

Discount Rate - The discount rate used to measure the total pension liability was 6.90 percent for the Plan. To determine whether the municipal bond rate should be used in the calculation of a discount rate for the plan, CalPERS stress tested plans that would most likely result in a discount rate that would be different from the actuarially assumed discount rate. Based on the testing, none of the tested plans run out of assets. Therefore, the current 6.90 percent discount rate is adequate, and the use of the municipal bond rate calculation is not necessary. The long term expected discount rate of 6.90 percent will be applied to all plans in the Public Employees Retirement Fund (PERF). The stress test results are presented in a detailed report that can be obtained from the CalPERS website.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

8. PUBLIC EMPLOYEES' RETIREMENT SYSTEM (PERS), Continued

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds' asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

The table below reflects the long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These rates of return are net of administrative expenses.

Asset Class	Assumed Asset Allocation	Real Return Years 1 - 10 ¹
Global equity - cap-weighted	30%	4.54%
Global equity non-cap-weighted	12%	3.84%
Private Equity	13%	7.28%
Treasury	5%	0.27%
Mortgage-backed Securities	5%	0.50%
Investment Grade Corporates	10%	1.56%
High Yield	5%	2.27%
Emerging Market Debt	5%	2.48%
Private Debt	5%	3.57%
Real assets	15%	3.21%
Liquidity	-5%	-0.59%
	<u>100%</u>	

(1) An expected inflation of 2.3% used for this period.

Brooktrails Township Community Services District

Basic Financial Statements

For the year ended June 30, 2025

Notes to Basic Financial Statements

8. PUBLIC EMPLOYEES' RETIREMENT SYSTEM (PERS), Continued

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability for the Plan, calculated using the discount rate for Plan, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage point lower or 1-percentage point higher than the current rate:

	1% Decrease (5.90%)	Current Discount Rate (6.90%)	1% Increase (7.90%)
Miscellaneous	\$ 3,272,582	\$ 2,247,497	\$ 1,403,702
Safety	491,003	319,439	179,123
Total	<u>\$ 3,763,585</u>	<u>\$ 2,566,936</u>	<u>\$ 1,582,825</u>

Pension Plan Fiduciary Net Position -Detailed information about the pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

At June 30, 2025, the District had no outstanding payable amounts for contributions to the pension plan required for the year ended June 30, 2025.

9. OTHER POST-EMPLOYMENT BENEFITS

Plan Description

The District's agent multiple-employer defined benefit OPEB Plan provides OPEB for all eligible fulltime general and public safety employees of the District. The District's plan is a multiple-employer defined benefit OPEB Plan administered by the District. The Board of Directors through resolutions and regulations has the authority to establish and amend the benefit terms. A separate OPEB Trust Fund has been established by the District. The plans issues publicly available financial statements as a component of the District's basic financial statements and can be obtained at the District's internet address.

Benefits Provided

The District's OPEB plan provides healthcare benefits to eligible retirees and their dependents. Benefits are provided through third party insurers, and the full cost of the benefits is provided by the Plan.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

9. OTHER POST-EMPLOYMENT BENEFITS, Continued

Employees Covered by the Benefit Terms.

At June 30, 2025, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	-
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	3
	<u>3</u>

The District's OPEB Plan is closed to new entrants.

Contributions

District regulations grant authority to the Board of Directors to establish and amend contribution requirements. Employees are not required to contribute to the plan. Plan contributions are based upon an actuarially determined rate. For the year end June 30, 2025, the District's' contribution rate was 4.2 percent of covered employee payroll. The District did not make contributions to the plan for fiscal year 2025. Employer contributions are made on an ad hoc basis.

Net OPEB Liability

The District's net OPEB liability was measured as of June 30, 2024 and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation dated June 30, 2025 based on the following actuarial methods and assumptions:

Actuarial Assumptions:	
Actuarial Valuation Date	June 30, 2023
Inflation	2.5 percent per year
Salary increase	Aggregate - 2.75% annually Merit - CalPERS 2000-2019 Experience Study
Investment rate of return	6.25% net of investment expenses
Healthcare cost trend rates	- Non-Medicare - 8.50% for 2025, decreasing to an ultimate rate of 3.45% in 2076 - Medicare (Non-Kaiser) - 7.5% for 2025, decreasing to an ultimate rate of 3.45% in 2076 - Medicare (Kaiser) - 6.25% for 2025, decreasing to an ultimate rate of 3.45% in 2076.
Mortality Improvement	Mortality projected fully generational with Scale MP-2021

The long-term expected rate of return on OPEB plan investments was 6.25 percent.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

9. OTHER POST-EMPLOYMENT BENEFITS, Continued

Discount rate

The discount rate used was 6.25 percent at June 30, 2024 and June 30, 2023

Changes in the OPEB Liability

The changes in the net OPEB liability for the Plan are as follows:

	Total OPEB Liability	Fiduciary Net Position	Net OPEB Liability
Balance at 6/30/2024	\$ 88,388	\$ 44,701	\$ 43,687
Changes for the year			
Service Cost	4,392	-	4,392
Interest	5,384	-	5,384
Actual vs. expected experience	-	-	-
Assumption changes	-	-	-
Contributions - employer	-	13,291	(13,291)
Contributions - employee	-	-	-
Net investment income	-	4,897	(4,897)
Benefit payments	(13,291)	(13,291)	-
Administrative expenses	-	(15)	15
Net Changes	(3,515)	4,882	(8,397)
Balance at 6/30/2025	\$ 84,873	\$ 49,583	\$ 35,290

Sensitivity of the Net OPEB Liability to Changes in the Discount Rate

The discount rate used for the fiscal year end 2025 is 6.25%. The following presents the net OPEB liability of the District if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate, for measurement period ended June 30, 2024:

	1% Decrease	Current Rate	1% Increase
Change in Discount Rate	5.25%	6.25%	7.25%
Net OPEB Liability	\$ 41,579	\$ 35,290	\$ 29,459

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

9. OTHER POST-EMPLOYMENT BENEFITS, Continued

Sensitivity of the Net OPEB Liability to Changes in the Health Care Cost Trend Rates

The following presents the net OPEB liability of the District if it were calculated using health care cost trend rates that are one percentage point lower or one percentage point higher than the current rate, for measurement period ended June 30, 2024:

Change in Healthcare Cost Trend Rate	1% Decrease	Current Trend	1% Increase
Net OPEB Liability	\$ 26,754	\$ 35,290	\$ 45,212

OPEB Plan Fiduciary Net Position

Detailed information about the OPEB plan's fiduciary net position is available in the District's basic financial report.

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2025, the District recognized OPEB income of \$16,251. At June 30, 2024, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ 18,819
Changes in assumptions	4,806	13,976
Net difference between projected and actual earnings on plan investments	508	-
Employer contributions made subsequent to the measurement date	229	-
Total	<u>\$ 5,543</u>	<u>\$ 32,795</u>

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

9. OTHER POST-EMPLOYMENT BENEFITS, Continued

The amounts reported as deferred outflows of resources related to OPEB will be recognized as expense as follows:

<u>Fiscal Year Ended June 30,</u>	<u>Deferred Outflow/(Inflows) of Resources</u>
2026	(14,063)
2027	(6,553)
2028	(5,922)
2029	(988)
2030	45
Thereafter	-

Payable to the OPEB Plan

At June 30, 2025, the District had no payable for the outstanding amount of contributions to the plan for the year ended June 30, 2025.

10. CONTINGENCIES, COMMITMENTS AND WASTEWATER AGREEMENT

Grants and allocations. Amounts received or receivable from grant agencies are subject to audit and adjustment by granter agencies, principally the federal and state government. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures that may be disallowed by the granter cannot be determined at this time, although the District expects such amounts, if any, to be immaterial.

City of Willits Wastewater Agreement. The District does not own separate wastewater treatment facilities and is currently negotiating an amendment to the agreement with the City of Willits to accept the District's wastewater. Under the current arrangement, the District is obliged to pay for a percentage of the City's wastewater treatment facility costs; operating overhead costs (currently \$33,255 monthly and increasing 3.2% at the end of each fiscal year), 36% of the City's debt service for specific sewer plant loans, and 36% of the City's Sewer related capital costs.

On March 25, 2015, the District and the City of Willits agreed to settle their disputes concerning the City's wastewater treatment plant and related matters. The settlement provided that the District shall pay to the City a flat fee of \$22,000 a month for a four year period, effective July 1, 2015, as the District's share of the costs to operate the City's wastewater treatment plant in future years. In addition, the District shall pay to the City 36 percent of the amounts payable to the USDA by the City on the City's three USDA loans as negotiated in the 2020 Debt Service Reimbursement Agreement. The monthly fee and share of the City's debt service costs are considered by the District to be operating expenses for financial reporting purposes.

Brooktrails Township Community Services District
Basic Financial Statements
For the year ended June 30, 2025

Notes to Basic Financial Statements

10. CONTINGENCIES, COMMITMENTS AND WASTEWATER AGREEMENT,
Continued

The agreement, which expired June 30, 2019, was renegotiated in fiscal 2020 to provide that the District shall continue to pay 36 percent of the City's debt service on the City's USDA loans and a fixed amount monthly for operation of the City's treatment plant. District management is confident that the amendment will be executed without significant change or impact to district operations.

Water Connections. The District announced in December of 2017 that the California State Water Resources Control Board had lifted its curtailment order on the sale of water connections for the District. Property owners may now submit plans and site development applications for review and possible approval. The lifting of the State's curtailment order allowed for an additional 23 hookups, of which 19 remain available.

11. NEW ACCOUNTING PRONOUNCEMENTS

The GASB has issued Statement No. 100, "*Accounting Changes and Error Corrections—an amendment of GASB Statement No. 62.*" The primary objective of this Statement is to enhance accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent, and comparable information for making decisions or assessing accountability. The implementation of this statement did not have an effect on the financial statements.

The GASB has issued Statement No. 101, "*Compensated Absences.*" The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. The implementation of this statement did not have an effect on the financial statements.

The GASB has issued Statement No. 102, "*Certain Risk Disclosures.*" The requirements of this Statement will improve financial reporting by providing users of financial statements with essential information that currently is not often provided. The disclosures will provide users with timely information regarding certain concentrations or constraints and related events that have occurred or have begun to occur that make a government vulnerable to a substantial impact. As a result, users will have better information with which to understand and anticipate certain risks to a government's financial condition. The implementation of this statement did not have an effect on the financial statements.

The GASB has issued Statement No. 103, "*Financial Reporting Model Improvements.*" The objective of this Statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This Statement also addresses certain application issues. The requirements of this Statement will take effect for financial statements starting with the fiscal year that ends June 30, 2026.

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REQUIRED SUPPLEMENTARY INFORMATION

Brooktrails Township Community Services District
Required Supplementary Information - Schedule of
Changes in the Net OPEB Liability and Related
Ratios
Last 10 Fiscal Years*

	2025	2024	2023	2022	2021	2020	2019	2018
Total OPEB Liability								
Service Cost	\$ 4,392	\$ 5,584	\$ 9,135	\$ 10,619	\$ 10,641	\$ 10,278	\$ 10,484	\$ 11,312
Interest on the total OPEB liability	5,384	5,387	3,208	4,111	4,880	9,464	8,684	7,347
Differences between expected and actual experience	-	(3,283)	-	(26,828)	-	(104,062)	-	-
Changes of benefit terms	-	-	-	-	-	-	-	-
Changes of assumptions	-	4,018	(21,168)	(8,130)	7,036	4,140	(3,104)	(6,905)
Contributions - employer	-	-	-	-	-	(12,043)	(15,066)	(14,341)
Benefit payments	(13,291)	(7,863)	(13,918)	(13,176)	-	-	-	-
Net change in total OPEB liability	(3,515)	3,843	(22,743)	(33,404)	22,557	(92,223)	998	(2,587)
Total OPEB liability - beginning	88,388	84,545	107,288	140,692	118,135	210,358	209,360	211,947
Total OPEB liability - ending (a)	\$ 84,873	\$ 88,388	\$ 84,545	\$ 107,288	\$ 140,692	\$ 118,135	\$ 210,358	\$ 209,360
Plan fiduciary Net Position								
Contributions - employer	\$ 13,291	\$ 7,863	\$ 13,918	\$ 13,176	\$ -	\$ 12,043	\$ 15,066	\$ 14,341
Contributions - employee	-	-	-	-	-	-	-	-
Net investment income	4,897	2,698	(6,494)	10,464	1,299	2,139	2,559	3,073
Administrative expense	(13,291)	(7,863)	(12)	(14)	(18)	(7)	(60)	(16)
Benefit payments	(15)	(12)	(13,918)	(13,176)	-	(12,043)	(15,066)	(14,341)
Net change in plan fiduciary net position	4,882	2,686	(6,506)	10,450	1,281	2,132	2,499	3,057
Plan fiduciary net position - beginning	44,701	42,015	48,521	38,071	36,790	34,658	32,159	29,102
Plan fiduciary net position - ending (b)	\$ 49,583	\$ 44,701	\$ 42,015	\$ 48,521	\$ 38,071	\$ 36,790	\$ 34,658	\$ 32,159
Net OPEB liability - ending (a) - (b)	\$ 35,290	\$ 43,687	\$ 42,530	\$ 58,767	\$ 102,621	\$ 81,345	\$ 175,700	\$ 177,201
Covered-employee payroll	\$ 317,785	\$ 584,469	\$ 670,006	\$ 857,538	\$ 969,091	\$ 952,829	\$ 773,766	\$ 766,516
Net OPEB liability as a percentage of covered-employee payroll	11.1%	7.5%	6.3%	6.9%	10.6%	8.5%	23%	23%

Notes to Schedule

* GASB 75 requires presentation of the 10year history of changes in the Net OPEB Liability. Additional years will be added as they become available.

1) Covered payroll is the payroll paid to all employees who are eligible for and accruing OPEB benefits.

2) For each fiscal year presented, information regarding the District's OPEB plan, including the methods and assumptions used to calculate the net OPEB liability, can be found in the notes to the District's basic financial statements.

Brooktrails Township Community Services District
Required Supplementary Information - Schedule of Contributions
Last 10 Fiscal Years

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Contractually required contribution (actuarially determined)	\$ 76,470	\$ 251,397	\$ 260,613	\$ 235,168	\$ 210,126	\$ 240,114	\$ 260,095	\$ 232,751	\$ 214,472	\$ 199,033
Contributions in relation to the actuarially determined contributions	(76,470)	(251,397)	(260,613)	(235,168)	(210,126)	(240,114)	(260,095)	(232,751)	(214,472)	(199,033)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered-employee payroll	\$ 961,881	\$ 808,686	\$ 822,165	\$ 768,951	\$ 969,091	\$ 755,235	\$ 692,689	\$ 678,270	\$ 797,313	\$ 666,499
Contribution as a percentage of covered-employee	7.95%	31.09%	31.70%	30.58%	21.68%	31.79%	37.55%	34.32%	26.90%	29.86%

Brooktrails Township Community Services District
Required Supplementary Information - Schedule of the District's Proportionate
Share of the Net Pension Liability
Last 10 Fiscal Years

	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Plan's Proportion of the Net Pension Liability/(Asset)	0.02117%	0.02070%	0.02111%	0.02400%	0.01908%	0.01954%	0.02001%	0.02055%	0.02129%	0.02207%
Plan's Proportionate Share of the Net Pension Liability/(Asset)	\$2,566,936	\$2,582,924	\$2,438,907	\$1,297,929	\$2,075,768	\$2,002,484	\$1,927,817	\$2,038,445	\$1,842,415	\$1,514,887
Plan's Covered-Employee Payroll	\$ 808,686	\$ 822,165	\$ 768,951	\$ 740,645	\$ 969,091	\$ 755,235	\$ 678,270	\$ 797,313	\$ 666,499	\$ 621,263
Plan's Proportionate Share of the Net Pension Liability/(Asset) as a Percentage of its Covered-Employee Payroll	317.42%	314.16%	317.17%	175.24%	214.20%	265.15%	284.23%	255.66%	276.43%	243.84%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Plan's Total Pension Liability	78.08%	76.21%	76.68%	88.29%	73.89%	74.02%	75.26%	73.31%	74.06%	78.40%
Plan's Proportionate Share of Aggregate Employer Contribution	\$ 238,764	\$ 242,380	\$ 311,318	\$ 274,693	\$ 268,468	\$ 245,200	\$ 218,732	\$ 199,469	N/A	N/A

SUPPLEMENTAL SCHEDULE

Brooktrails Township Community Services District
Schedule of Debt Service Coverage
June 30, 2025

In accordance with the Official Statement of the Brooktrails Township Community Services District Water Revenue Refunding Bonds Series 2021, the District is required to report annually the following information:

	2025
a) Outstanding Principal Balance at June 30:	\$ 2,605,000
b) Water Sales	\$ 1,471,554
c) Number of connections of the Water System	1,559
d) Changes in rates:	No change in base or water usage rates.

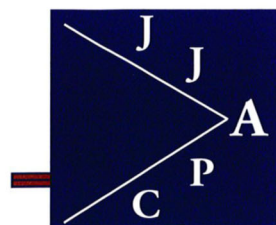
e) Summary coverage information:

	2025
Operating revenues	\$ 1,614,704
Investment income	24,877
Other nonoperating revenues	42,528
Total Revenue	\$ 1,682,109
Personnel costs	719,647
Supplies	408,180
Professional Services	90,376
Other Charges	311,072
Total Operations and Maintenance	1,529,275
Net Revenue Available For Debt Service	\$ 152,834
Debt service:	
2021 Water Revenue Refunding Bonds	\$ 75,000
USDA Loans	-
Total debt service	\$ 75,000
Net Revenue After Debt Service	\$ 77,834
Calculated coverage	2.04
Meets covenant restrictions	Yes

Notes:

There were no significant events for the year or additional information to be reported.

Information included above disclosed in Note 4 of the financial statements.



JJACPA, Inc.

A Professional Accounting Services Corp.

**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON
COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL
STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING
STANDARDS***

Board of Directors
Brooktrails Township Community Services District
Willits, California

We have audited, in accordance with the auditing standard generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of Brooktrails Township Community Services District (District) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise Brooktrails Township Community Services District's basic financial statements, and have issued our report thereon dated February 18, 2026.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Board of Directors
Brooktrails Township Community Services District
Willits, California

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

February 18, 2026

JJACPA, Inc.
JJACPA, Inc.
Dublin, CA